Data-processing considerations also explain why capitalists favour lower taxes. Heavy taxation means that a large part of all available capital accumulates in one place – the state coffers – and consequently more and more decisions have to be made by a single processor, namely the government. This creates an overly centralised data-processing system. In extreme cases, when taxes are exceedingly high, almost all capital ends up in the government's hands, and so the government alone calls the shots. It dictates the price of bread, the location of bakeries, and the research-and-development budget. In a free market, if one processor makes a wrong decision, others will be quick to utilise its mistake. However, when a single processor makes almost all the decisions, mistakes can be catastrophic.

This extreme situation in which all data is processed and all decisions are made by a single central processor is called communism. In a communist economy, people allegedly work according to their abilities, and receive according to their needs. In other words, the government takes 100 per cent of your profits, decides what you need and then supplies these needs. Though no country ever realised this scheme in its extreme form, the Soviet Union and its satellites came as close as they could. They abandoned the principle of distributed data processing, and switched to a model of centralised data processing. All information from throughout the Soviet Union flowed to a single location in Moscow, where all the important decisions were made. Producers and consumers could not communicate directly, and had to obey government orders.